

Dun & Bradstreet Investment Committee Memorandum

Illustrative acquisition by Clearlake Capital | Underwriting date 24 March 2025 | USD millions unless stated

Recommendation: conditional approval

The base case produces a 2.50x gross MOIC and 20.1% gross IRR over five years at an 8.3x exit multiple, approximately equal to the entry multiple. The investment can reach the low end of the return target through EBITDA growth and debt reduction, but downside protection is weak. Approval should depend on retention, normalized EBITDA, maintenance software investment and final debt terms.

Transaction	Public-information reference
Buyer	Clearlake Capital Group
Target	Dun & Bradstreet Holdings
Offer	\$9.15 per share in cash
Equity value	Approximately \$4.1bn
Transaction value	Approximately \$7.7bn including debt
Announcement	24 March 2025
Base return	2.50x MOIC / 20.1% gross IRR

Investment merits	Principal risks
1. Mission-critical credit, compliance and master-data workflows. 2. Subscription and API delivery with low customer concentration. 3. Proprietary identifiers, entity matching and global data breadth. 4. Debt paydown can create value without multiple expansion.	1. Slow growth, especially mature North America products. 2. Repeated adjustments and high software investment weaken cash conversion. 3. Leverage and rate exposure leave a thin downside cushion. 4. AI, privacy and data-quality risks may erode differentiation.

Critical assumptions

- Base revenue grows 3.7% in 2025 and 3.5% annually thereafter.
- Adjusted EBITDA margin reaches 40.8% in FY2029 from 38.9% in FY2024.
- Entry leverage is 5.5x; total cash investment declines from 8.0% to 7.2% of revenue.
- Exit multiple is 8.3x. No add-ons, dividend recapitalizations or interim sponsor distributions are assumed.

Business model and historical performance

A valuable data and workflow asset with modest growth and economically meaningful software investment

Business model

D&B; sells commercial data, analytics and workflow tools through two solution groups. Finance & Risk supports credit, fraud, supplier monitoring, onboarding, receivables and compliance. Sales & Marketing supports master-data management, CRM enrichment, prospect selection, audience activation and campaign measurement. Products are delivered through subscription applications, APIs and transactional reports.

Area	Attractive characteristic	Counterpoint
Finance & Risk	Mission-critical decisions and workflow integration	North America growth was only 0.3% in 2024; strong bureau competition
Sales & Marketing	Data enrichment and cross-sell into CRM and marketing stacks	More discretionary and crowded with specialist vendors
Data and identifiers	D-U-N-S identity, matching, history and global alliances	Data rights, accuracy, privacy and alternative sources require ongoing investment
International	6.0% 2024 revenue growth and broader network	33.2% margin versus 44.6% in North America; regulatory and FX complexity

Historical financial performance

Metric	FY2022	FY2023	FY2024
Revenue	\$2,224.6	\$2,314.0	\$2,381.7
Revenue growth	-	4.0%	2.9%
Adjusted EBITDA	\$863.5	\$892.2	\$926.6
Adjusted EBITDA margin	38.8%	38.6%	38.9%
Operating cash flow	\$537.1	\$452.2	\$436.9
Total cash investment	\$217.9	\$199.4	\$213.9
Simple free cash flow	\$319.2	\$252.8	\$223.0
Simple FCF / adjusted EBITDA	37.0%	28.3%	24.1%

Earnings-quality assessment

Adjusted EBITDA excludes equity compensation, restructuring, transaction and transition costs and other items. Equity compensation was \$67.6 million and restructuring was \$16.9 million in 2024. Repeated transformation spending can be economically recurring. The base model therefore deducts a 2.0% of EBITDA cash-cost reserve and treats software and intangible additions as recurring investment.

Source: DNB-001, 2024 Form 10-K, Items 1, 7 and 8 and Note 17; DNB-002, FY2024 results.

Entry valuation and capital structure

Illustrative sources and uses because final financing terms were not public at announcement

Entry valuation

Metric	Value
Disclosed transaction value	\$7,700.0
FY2024 adjusted EBITDA	\$926.6
Entry EV / adjusted EBITDA	8.3x
Disclosed equity value	\$4,100.0
Offer price	\$9.15 per share

Sources and uses

Uses	Amount	Sources	Amount
Equity purchase price	\$4,100.0	Term Loan A	\$463.3
Refinance / assume debt	\$3,550.4	Term Loan B	\$4,169.7
Less: cash acquired	(\$205.9)	Senior notes	\$463.3
Transaction fees	\$154.0	Total debt	\$5,096.3
Financing fees	\$101.9	Sponsor equity	\$2,604.1
Total	\$7,700.4	Total	\$7,700.4

Illustrative debt structure

Tranche	Opening balance	Rate	Mandatory amortization
Term Loan A	\$463.3	7.0%	5.0% of original annually
Term Loan B	\$4,169.7	7.5%	1.0% of original annually
Senior notes	\$463.3	8.5%	None during hold
Total debt	\$5,096.3	7.5% blended approx.	5.5x entry EBITDA

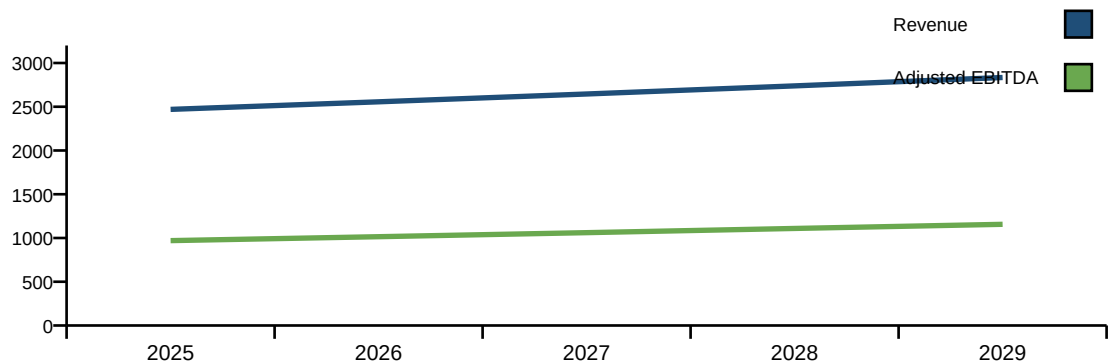
Capital-structure judgment

The base structure is aggressive relative to D&Bs; existing 3.6x net leverage but is consistent with testing a sponsor acquisition of a recurring-revenue asset. The model pays 100% of available cash toward debt after mandatory amortization. Interest uses average balances before optional repayment, avoiding circularity and conservatively delaying the interest benefit of the cash sweep.

Reconciliation limitation: the rounded \$4.1bn equity value and \$7.7bn transaction value do not exactly bridge to year-end debt, cash and assumed fees. The model keeps the announced values and shows fees separately.

Operating case & value creation

Growth is modest; the return depends on a credible margin and cash-conversion plan



Metric	2025E	2026E	2027E	2028E	2029E
Revenue	\$2,469.8	\$2,556.3	\$2,645.7	\$2,738.3	\$2,834.2
Revenue growth	3.7%	3.5%	3.5%	3.5%	3.5%
Adjusted EBITDA	\$969.9	\$1,014.8	\$1,060.9	\$1,109.0	\$1,156.3
EBITDA margin	39.3%	39.7%	40.1%	40.5%	40.8%
Cash before debt repayment	\$272.9	\$331.0	\$394.6	\$464.7	\$539.7
Closing debt	\$4,823.4	\$4,492.4	\$4,097.9	\$3,633.1	\$3,093.5

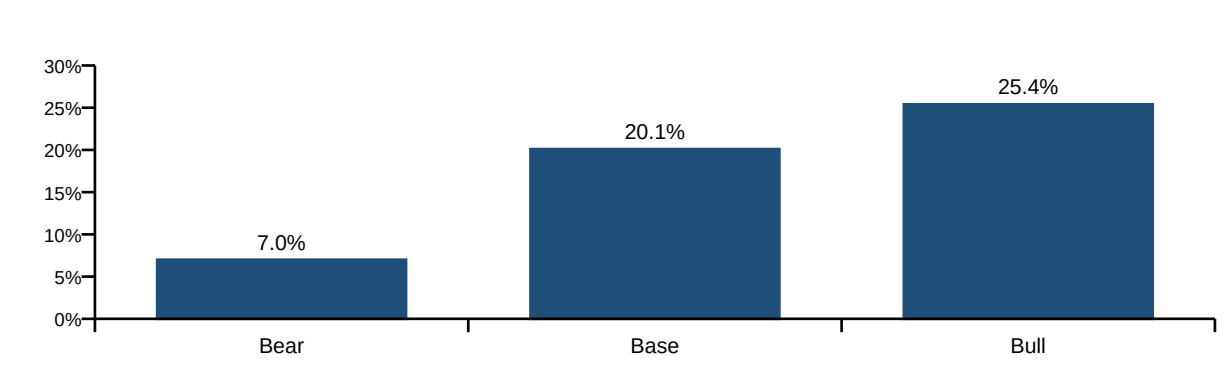
Value-creation priorities

Pillar	Action	Base-case treatment
Operations	Improve pricing, packaging, renewals and cross-selling	Included through 3.5% growth
Operations	Simplify International delivery and scale shared technology	Included through margin expansion
Operations	Separate maintenance from growth software investment	Included through declining investment ratio
People	Retain AI, data and commercial leaders with cash-based KPIs	Not separately quantified
Strategy	Embed governed AI interfaces and APIs in core workflows	Only modest productivity in base case
Strategy	Focus products on risk, compliance, MDM and APIs	Partly included; no disposal proceeds

The plan must avoid double counting: the base growth, margin and investment assumptions already include moderate execution benefits. Add-on acquisitions and speculative AI revenue remain outside the base case.

Returns and sensitivities

Base return clears 20% narrowly; the 25% target requires stronger outcomes



Case	Exit EBITDA	Exit multiple	Exit net debt	MOIC	Gross IRR
Bear	\$1,028.5	7.0x	\$3,550.2	1.40x	7.0%
Base	\$1,156.3	8.3x	\$3,093.5	2.50x	20.1%
Bull	\$1,270.6	8.5x	\$2,717.0	3.10x	25.4%

Return attribution

Driver	Equity-value contribution
EBITDA growth at entry multiple	\$1,909.2
Multiple change	(\$11.5)
Debt paydown	\$2,002.8
Fees / cash / bridge residual	(\$0.4)
Total sponsor value increase	\$3,900.1

Decision sensitivities

Question	Result
Does the base case work without expansion?	Yes. 8.3x exit versus approximately 8.3x entry.
Break-even multiple for 20% IRR	Approximately 8.3x
Break-even multiple for 25% IRR	Approximately 9.5x
IRR at 8.0x and 40.8% exit margin	18.8%
IRR at 7.0x and 38.0% exit margin	11.3%
IRR at 9.0x and 43.0% exit margin	24.8%

The base case is credible but not forgiving. The upper target is not achieved without stronger operating performance, greater deleveraging or a higher exit multiple.

Downside, diligence and approval conditions

The bear case does not meet the target; diligence must validate the four variables that drive cash paydown

Downside assessment

The bear case assumes 1-2% growth, a 39.5% FY2029 margin, slower cash conversion and a 7.0x exit. It produces approximately 1.40x MOIC and 7.0% IRR. Capital is preserved in nominal terms, but the return is inadequate for the risk and would be vulnerable to a deeper operating miss or higher refinancing cost.

Risk	Early warning	Required diligence
Organic growth and retention	Bookings, usage or renewal cohorts weaken	Gross and net retention plus price-volume-new logo bridge by product
Earnings quality	Adjustments repeat or increase	Five-year add-back ledger and sponsor-defined EBITDA
Software investment	Spend remains near or above revenue growth	Maintenance/growth split and product-level return on investment
Leverage and rates	Coverage declines or hedge expiry approaches	Debt terms, hedges, covenants and 200bp rate shock
Data and AI	Coverage gaps, source loss or substitution	Data rights, lineage, AI use cases and product-level substitution risk
Execution	Savings delay while churn rises	Initiative owners, baselines, timing and monthly KPIs

Conditions required to approve

- Confirm gross retention, net retention and renewal exposure support at least the base revenue path.
- Recast adjusted EBITDA and retain a cash reserve for costs that are recurring in substance.
- Validate that maintenance software and data investment can decline as a percentage of revenue without harming product quality.
- Secure debt terms that preserve liquidity and refinancing flexibility under a 200-basis-point rate shock.
- Require quarterly reporting on organic growth, retention, price realization, cash investment, cash conversion and net leverage.

Final IC view

Approve only with conditions. D&B; has the characteristics of a financeable data asset, and the base case can reach a 20% gross return without multiple expansion. The entry does not offer enough downside protection to approve on headline recurring revenue or management adjusted EBITDA alone. The investment case is acceptable only if diligence confirms durable retention, normalized earnings and a realistic path to cash conversion and debt reduction.

Primary evidence: DNB-001, 2024 Form 10-K; DNB-002, Q4 and FY2024 results; TXN-002, 24 March 2025 transaction announcement. Later proxy and closing materials are retrospective and excluded from the principal underwriting. Independent analysis prepared for educational and recruitment demonstration purposes using publicly available information. The analysis is illustrative, does not represent Clearlake Capital's actual underwriting or financing structure, and does not constitute investment advice.